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No. 98-783

Supreme Court, U.S.
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In the Supreme Court of the United States

OCTOBER TERM, 1998

IRENE L. WRIGHT, on behalf of herself and all others similarly situated,

Petitioner,

v.

ERNST & YOUNG LLP,

Respondent.

On Petition for a Writ of Certiorari to the United States Court of Appeals for the Second Circuit

BRIEF FOR THE RESPONDENT IN OPPOSITION

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QUESTION PRESENTED

Whether, under Section 10(b) of the Securities Exchange Act of 1934, persons who purchased stock in a company that issued a press release containing allegedly false and misleading information, with a notation that the information was unaudited and without mention of its outside auditor, can recover from the outside auditor based on its private approval of the information contained in the press release.

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BRIEF FOR THE RESPONDENT IN OPPOSITION

Petitioner seeks review of a decision of the United States Court of Appeals for the Second Circuit affirming the dismissal of her complaint under Section 10(b) of the Securities Exchange Act, 15 U.S.C. § 78j, and Rule 10b-5 thereunder, 17 C.F.R. § 240.10b-5, against respondent Ernst & Young LLP ("Ernst & Young") in connection with her purchase of common stock of BT Office Products International ("BT" or "the Company"). The district court dismissed the action because petitioner sought to base liability not on any misstatement made by Ernst & Young, but rather on a BT press release announcing the Company's unaudited year-end financial results that did not mention Ernst & Young and that explicitly described the financial results as "unaudited." In the district court's view, petitioner's claim was an impermissible attempt to end-run this Court's decision in *Central Bank of Denver v. First Interstate Bank of Denver*, 511 U.S. 164 (1994), which held that there can be no liability

in private damage actions for aiding and abetting alleged violations of Section 10(b) and Rule 10b-5. The Second Circuit affirmed, holding that petitioner's claim is foreclosed by *Central Bank* and by its earlier decision in *Shapiro v. Cantor*, 123 F.3d 717 (2d Cir. 1997), which adopted a "bright line" test requiring a material misstatement or omission by the defendant, as opposed to mere review and approval of another party's misstatement or omission, as a prerequisite to liability. The Second Circuit also concluded that petitioner's claim would be defective even under the "substantial participation" test adopted by the Ninth Circuit because there is no allegation that Ernst & Young participated in the creation of the BT press release.

In attempting to persuade this Court that the decision below is worthy of review, petitioner argues that there is serious circuit conflict and confusion on the scope of liability for Section 10(b) violations following *Central Bank*. As shown below, however, the particular question presented by the Petition — whether an auditor can be held liable for communicating false information to a company that it knows the company will disclose — is not even raised in this case, for there is no allegation that Ernst & Young's private advice to its client BT ever became public. Moreover, a ruling by this Court on the appropriate standard for liability would be premature, as that issue is now just beginning to percolate at the circuit level. Thus far, one circuit, the Tenth, has joined the court below in applying a "bright line" test that requires, as a prerequisite for liability, a material misstatement (or omission) that is made by the defendant and relied on by the plaintiff. Another circuit, the Ninth, has adopted an apparently more liberal "substantial participation" test that imposes liability on those who play a key role in creating a material misstatement that is in fact made by someone else. Petitioner fails to acknowledge, however, that even under the Ninth Circuit test, there could be no liability here because there is no allegation that Ernst & Young contributed to the

creation of BT's press release. Petitioner's inability to cite a single decision applying any legal standard that would sustain her allegations demonstrates the unworthiness of her complaint and this Petition.

STATEMENT

1. **The Complaint's Allegations.** On January 30, 1996, BT issued a press release announcing its unaudited 1995 financial results. The press release expressly described the Company's financial results as "unaudited" and made no mention of Ernst & Young, BT's independent outside auditor. Pet. 5a.

Three months later, on March 28, 1996, BT announced that it had discovered accounting and financial reporting irregularities, as well as inventory theft and embezzlement, at one of its subsidiaries and that, as a result, it was reducing its previously reported (unaudited) net income for the year. Pet. 5a. Approximately two weeks after that announcement, petitioner filed a class action lawsuit in the Southern District of New York, accusing the Company and a number of its officers of securities fraud. Pet. 3a-4a. In March 1997, those defendants agreed to pay $1,480,000 to the class in settlement of these claims. Pet. 4a.

On the last day before the statute of limitations would otherwise have expired, petitioner filed a second class action complaint against Ernst & Young. The only actionable misstatements alleged in the complaint were statements made by BT in its January 30 press release announcing the Company's unaudited 1995 financial results. Petitioner alleged that Ernst & Young was responsible for the press release because it was supposedly reckless in not discovering, before the release was made, that rogue employees of the Company had engaged in theft and fraud. Petitioner alleged that before BT issued the January 30 press release, Ernst & Young had provided "oral assurances" to the Company that its 1995 financial statements were accurate. She further

claimed that it was based on these assurances that BT made its earnings announcement. Although the complaint alleged that "the market" believed that the release of BT's 1995 financial results must have been approved by Ernst & Young because companies do not issue such press releases without their outside auditors' approval, the press release itself did not substantiate that allegation. Instead, it described BT's 1995 financial results as "unaudited." Pet. 3a-5a.

2. **The Decisions Below.** The district court granted Ernst & Young's motion to dismiss, holding that petitioner's allegations would be insufficient under any standard of primary liability adopted by the federal courts in the aftermath of *Central Bank*. Pet. 23a-25a. The court correctly observed (*see* n.3 *infra*) that "[v]irtually all cases . . . have required a greater degree of participation in the fraudulent conduct than the mere review and approval of unaudited figures." Pet. 24a. The court rejected petitioner's claim that Ernst & Young had "endorsed" the Company's January 30 announcement; given the press release's characterization of the Company's financial results as unaudited, "E&Y's only 'representation' as to the accuracy of those figures was that it made no representation at all." Pet. 23a-24a. The court concluded that sustaining the complaint in light of Ernst & Young's "clearly tangential role in the alleged fraud would effectively revive aiding and abetting liability under a different name, and would therefore run afoul of the Supreme Court's holding in *Central Bank*." Pet. 25a.

The Second Circuit affirmed, relying on *Central Bank* and its own recent decision in *Shapiro*. In *Shapiro*, the court noted two differing standards in determining liability for Section 10(b) violations and elected to follow a "bright line" test under which the defendant cannot be held liable unless it actually made a material misstatement or omission on which the plaintiff relied. 123 F.3d at 720. Anything short of such conduct, the court concluded, was mere aiding and abetting,

which is insufficient to trigger liability under *Central Bank*. *Id*.

In the instant case, the Second Circuit held that the requisite standard was not satisfied because:

> BT's press release did not attribute any assurances to Ernst & Young and, in fact, did not mention Ernst & Young at all. Thus, Ernst & Young neither directly nor indirectly communicated misrepresentations to investors. Therefore, the amended complaint failed to allege that Ernst & Young made "a material misrepresentation (or omission) on which a purchaser or seller of securities relie[d]." *Central Bank*, 511 U.S. at 191.

Pet. 12a-13a.

Nor would the result likely be any different, the court reasoned, under the Ninth Circuit's "substantial participation" test. *See* Pet. 14a. Although declining to adopt that standard, the Second Circuit concluded that under it, "we would be hard pressed to conclude that the amended complaint alleged an actionable misrepresentation within the meaning of § 10(b)." Pet. 14a.

REASONS FOR DENYING THE WRIT

The Petition advances four principal reasons for review. First, petitioner argues that the Second Circuit standard is at odds with the Ninth Circuit's "substantial participation" test that was announced in a footnote in *In re Software Toolworks Inc.*, 50 F.3d 615, 628 n.3 (9th Cir. 1994). Second, petitioner asserts that the decision below conflicts with the Tenth Circuit's ruling in *Anixter v. Home-State Product Co.*, 77 F.3d 1215 (10th Cir. 1996), a leading decision addressing the scope of liability in the wake of *Central Bank*. Third, petitioner claims to have found yet a third test for primary liability in the Third Circuit's *vacated* decision in *Klein v. Boyd*, [Current Transfer Binder] Fed. Sec. L. Rep. (CCH) ¶ 90,136 (3d Cir. Feb. 12, 1998), *vacated* [Current Transfer

Binder] ¶ 90,165 (3d Cir. Mar. 9, 1998). Finally, petitioner urges that review by this Court is necessary because of internal confusion within the Second Circuit on the appropriate liability standard.

As explained below, review should be denied because the question presented by petitioner is not even raised by the allegations in this case. Further, although the "substantial participation" test appears to differ from the "bright line" rule followed by the Second and Tenth Circuits, the Ninth Circuit standard has thus far gained no sizable following and, as the courts below recognized, would not save petitioner's claim in any event. These factors make this case a particularly poor vehicle for addressing the primary liability issue.

In addition, there is no conflict between the Tenth and Second Circuits. The *Anixter* standard is the same as the Second Circuit test – unsurprising given that the court below cited *Anixter* favorably in this case and in *Shapiro*. That leaves petitioner's contentions that this Court should exercise its discretionary jurisdiction because of an allegedly conflicting – but *vacated* – panel decision in *Klein* and because of supposed intra-circuit confusion. Neither ground would be good reason for granting review, and neither ground is meritorious even if it were certworthy.

Finally, the time is not yet ripe for this Court to address the precise scope of primary liability under Section 10(b) following *Central Bank*. That issue is only beginning to be considered in the courts of appeals. If this Court's intervention is ultimately needed, the Court will benefit from consideration of the issue in a number of different factual contexts by a number of different courts.

I. THE QUESTION PRESENTED BY PETITIONER IS NOT RAISED IN THIS CASE

Petitioner seeks this Court's review of the question:

> Can a secondary actor not identified in a public statement incur primary liability under Section 10(b) of the Securities Exchange Act of 1934 where he communicates false information to an issuer knowing that the issuer will publish that information?

Pet. i, 5. That question is irrelevant to this case because there is no allegation that BT published any information communicated to it by Ernst & Young.

Petitioner insists that Ernst & Young made material misrepresentations when it supposedly advised BT that the Company's unaudited 1995 financial results were sufficiently accurate to be disclosed and that the January 30 press release could be issued. Pet. 2, 14. But there is no allegation that this particular private advice ever made its way to the class, directly or indirectly. Rather, the only actionable misstatements alleged in the complaint were contained in *the Company's* press release, which did not even mention Ernst & Young:

> BT's press release did not attribute any assurances to Ernst & Young and, in fact, did not mention Ernst & Young at all. Thus, Ernst & Young neither directly nor indirectly communicated misrepresentations to investors.

Pet. 12a. As the court below aptly observed, "BT issued the press release without a whisper of Ernst & Young's involvement." Pet. 15a.[1]

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[1] Financial statements are, by definition, a representation by the company. That remains true even when the financial statements have been audited. The only statement by the independent outside auditor is the audit opinion itself. *See* 1 [CCH] AICPA,

Accordingly, if this Court were inclined to address the particular question presented by petitioner, it would have to do so on facts other than those alleged below. Petitioner's question, unlike petitioner's allegations, postulates a defendant communicating "false information to an issuer knowing that the issuer will publish *that information.*" Pet. (i), 5. (emphasis added). Because there is no allegation that Ernst & Young's private advice to its client was ever made public, the question presented by petitioner simply does not arise in this case.

II. EVEN UNDER THE NINTH CIRCUIT TEST, PETITIONER'S CLAIM WOULD FAIL

Petitioner correctly observes that "substantial participation" by a defendant in the creation of a material misstatement made by someone else is apparently sufficient in the Ninth Circuit to state a claim for primary liability. Pet. 8. *See In re Software Toolworks Inc.*, 50 F.3d 615, 628 n.3 (9th Cir. 1994); *Adam v. Silicon Valley Bancshares*, 884 F. Supp. 1398, 1401 (N.D. Cal. 1995); *In re ZZZZ Best Sec. Litig.*, 864 F. Supp. 960, 966 (C.D. Cal. 1994).[2]

Professional Standards, Statements on Auditing Standards ("SAS") No. 1, AU § 110.02 ("The financial statements are management's responsibility. The auditor's responsibility is to express an opinion on the financial statements."). Thus, when a company discloses its year-end financial results *before* the auditor has issued any opinion, as BT did in this case, the only statement being made is a statement by the company.

[2] Some of the other authorities that petitioner cites to support liability under a "substantial participation" standard are curious in that they either do not follow that test or, alternatively, make it plain that petitioner's claim would not succeed under that standard. For example, petitioner cites *Phillips v. Kidder, Peabody & Co.*, 933 F. Supp. 303 (S.D.N.Y. 1996), *aff'd*, 108 F.3d 1370 (2d Cir. 1997), as a case applying a "substantial assistance" test. Pet. 7.

What petitioner fails to address, however, is that even if a "substantial participation" test were applied here, the result would be the same. There is no allegation that Ernst & Young had any involvement in preparing BT's press release. Petitioner's only claim is that Ernst & Young gave oral assurances to the Company about the accuracy of the then-unaudited 1995 financial results and that those assurances prompted BT to issue the release. Pet. 14. No case decided after *Central Bank* has held that an accountant's private approval of a client's public communication is sufficient to state a claim for securities fraud. On the contrary, all of the authorities, pre- and post-*Central Bank*, reject any such claim.[3]

In fact, in this pre-*Shapiro* case, the court observed that the Second Circuit had not yet addressed what is necessary for the imposition of primary liability and did not decide which approach to follow because Kidder was potentially liable "[e]ven under the more stringent test." 933 F. Supp. at 315.

Further, although the court in *Cashman v. Coopers & Lybrand*, 877 F. Supp. 425 (N.D. Ill. 1995) (cited at Pet. 7), framed its analysis in terms of Coopers's "substantial participation" in the alleged fraud, it nonetheless applied the Seventh Circuit rule antedating *Central Bank* that "primary liability under § 10(b) also requires an accountant's alleged misstatement to be certified, audited, prepared or reported." *Id.* at 432. There is no allegation in this case that could possibly meet that standard.

[3] *See, e.g., Latigo v. Laventhol & Howath*, 876 F.2d 1322, 1326-1327 (7th Cir. 1989) (accounting firm that performed quarterly reviews, but did not issue any audit opinion, could not be held responsible for the alleged misstatements in the company's reports of its interim financial results); *In re Cascade Int'l Sec. Litig.*, 894 F. Supp. 437, 443 (S.D. Fla. 1995) ("if an accountant does not issue a public opinion about a company, although it may have conducted internal audits or reviews for portions of a company, the accountant cannot subsequently be held responsible

The allegations of primary wrongdoing in the Ninth Circuit cases are far more substantial than what petitioner alleges here. For example, in *In re Software Toolworks*, the accountant, Deloitte & Touche, was not entitled to summary judgment on the Section 10(b) claim because it allegedly had played a key role in reviewing, drafting, and editing two letters to the SEC that were misleading. 50 F.3d at 628 n.3. A basis for primary liability existed, according to the Ninth Circuit, because:

> the July 1 SEC letter stated that it "was prepared after extensive review and discussions with . . . Deloitte" and actually referred the SEC to two Deloitte partners for further information. . . . Similarly, the plaintiffs presented evidence that Deloitte played a significant role in drafting and editing the July 4 SEC letter.

Id.

Here, in contrast, the most that petitioner could muster is an allegation that BT prepared its own misleading press release based on erroneous advice from Ernst & Young – a prototypical aiding and abetting claim[4] now proscribed under

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for the company's public statements issued later..."); *In re Gas Reclamation, Inc. Sec. Litig.*, 659 F. Supp. 493, 505 (S.D.N.Y. 1987) (accounting firm could not be held liable for alleged misstatements in company's disclosures "where it has not given some representation or certification, such as an opinion or certified statement, or has not invited the public to rely on the firm's financial judgment at the time"); *Cashman*, 877 F. Supp. at 432 ("[p]rimary liability under §10(b) also requires an accountant's alleged misstatement to be certified, audited, prepared or reported").

[4] A leading securities commentator has characterized the very allegations made in petitioner's complaint as asserting an aiding and abetting claim: "The accountant would be liable as an aider and abettor if it prepares false unaudited figures *or suggests that the*

Central Bank, which requires proof of "all" of the elements of a Section 10(b) violation, including "a material misstatement (or omission) on which a purchaser or seller of securities relies . . . ." *Central Bank*, 511 U.S. at 191. Thus, as recognized below, petitioner's allegations against Ernst & Young fell short whether analyzed under the Ninth Circuit "substantial participation" standard or under the Second Circuit "bright line" rule. *See* Pet. 14a, 24-25a.[5]

There may be significant differences in some cases between the "bright line" rule adopted by the Second and Tenth Circuits and the "substantial participation" test suggested by the Ninth Circuit in determining the scope of primary liability under Section 10(b). The lower courts continue to debate which of the standards is more faithful to the statute and to this Court's decision in *Central Bank*. That issue may someday require resolution by this Court. A choice among competing standards would make no sense in this case, however, where petitioner's allegations are so deficient that dismissal is required regardless of which standard is applied.

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company release misleading statements." 5C Arnold S. Jacobs, *Litigation And Practice Under Rule 10b-5*, § 66.01(d), at 3-504 (1977) (emphasis added).

[5] *See also Vosgerichian v. Commodore Int'l*, 862 F. Supp. 1371, 1378 (E.D. Pa. 1994) (allegations that an accounting firm consulted, advised, and guided client in making misrepresentations insufficient to state a claim for securities fraud); *Wells v. Monarch Capital Corp.*, [1996-1997 Transfer Binder], Fed. Sec. L. Rep. (CCH) ¶ 99,344, at 96,091 (D. Mass. Oct. 22, 1996), *aff'd*, 129 F.3d 1253, (1st Cir. 1997) (allegations that misleading documents that were "prepared under the direction of" an accountant who was "responsible for their accuracy and completeness" were "claims for aiding and abetting under either approach, and are barred by the *Central Bank* decision") (internal quotation marked omitted).

III. *ANIXTER* AND THE DECISION BELOW APPLY THE SAME TEST

Ever in search of a conflict, petitioner argues that the decision below is incompatible with the Tenth Circuit's ruling in *Anixter*. Pet. 4. Specifically, petitioner insists that *Anixter* properly recognizes that a defendant can be liable for making an "indirect" material misstatement to investors, while the Second Circuit supposedly rejected that principle. Pet. 4, 7.

Petitioner is forced to concede, however (*see* Pet. 9-10), that this argument does not survive a fair reading of the Second Circuit's opinion. The court below explicitly recognized that "'[t]here is no requirement that the alleged violator directly communicate misrepresentations to [investors] for primary liability to attach.'" Pet. 12a (quoting *Anixter*, 77 F.3d at 1226).

Petitioner nonetheless persists in urging that the Second Circuit has "effectively" eliminated liability for "indirect" misrepresentations by requiring that any alleged misstatement be attributed to the defendant. Pet. 4, 10. *Anixter*, however, enforced the same requirement in holding, like the court below, that an alleged material misstatement must have been made by the defendant, and not someone else, in order for liability to attach.

In *Anixter*, the court cautioned that "for an accountant's misrepresentation to be actionable as a primary violation, there must be a showing that he knew or should have known that *his representation* would be communicated to investors because § 10(b) and Rule 10b-5 focus on fraud made 'in connection with the sale or purchase' of a security." 77 F.3d at 1226 (emphasis added). The Tenth Circuit explained that this requirement is essential after *Central Bank* and expressly rejected the view that the "'substantial assistance' element of aiding and abetting liability" can be "reformulate[d]" by the simple expedient of making an accountant liable for a client's

statement. 77 F.3d at 1226 n.10. In the Tenth Circuit's view:

> The critical element separating primary from aiding and abetting violations is the existence of a representation either by statement or omission, made by the defendant, that is relied upon by the plaintiff. Reliance only on representations made by others cannot itself form the basis of liability. *See Central Bank of Denver*, 511 U.S. at 176-178, 114 S. Ct. at 1448.

Anixter, 77 F.3d at 1225. This is the very same "bright line" rule adopted by the Second Circuit in *Shapiro* and applied by the court below. *See* Pet. 11a.

Significantly, in applying that standard, the Tenth Circuit differentiated between primary and secondary claims in the same way that the Second Circuit distinguished between them in this case. The accountant in *Anixter*, Cross, had issued audit opinions on the financial statements of his client, Home-Stake, and had also assisted Home-Stake in preparing limited partnership offering materials. The court concluded that Cross *could* be held liable for *his* own public statements in the form of opinions – which, of course, were publicly attributed to him – but could *not* be held liable for his *client's* statements even though he may have contributed substantially to creating them. The court reversed a forty million dollar judgment in a twenty-year-old case because it was unclear from the verdict whether the jury had found Cross liable because of his role in Home-Stake's misrepresentations "or whether his liability rested on actual representations he made that reached investors." *Id.* at 1230-1231.

The court below likewise concluded that one cannot transform secondary liability claims prohibited by *Central Bank* into legitimate primary claims by the simple expedient of tagging the secondary actor, in this case the accountant, with the client's statement. Accordingly, there is no substance to this supposed conflict – or to petitioner's dark

prediction that the Second Circuit has "effectively eliminated liability for any indirect misstatements by a party no matter the degree of culpability of that party in perpetrating a fraud on the public." Pet. 10.

IV. THE VACATED *KLEIN* DECISION OFFERS NO REASON TO REVIEW THIS CASE

The Petition relies heavily on the panel decision in *Klein v. Boyd*, [Current Transfer Binder] Fed. Sec. L. Rep. (CCH) ¶ 90,136 (3d Cir. Feb. 12, 1998), *vacated* [Current Transfer Binder] ¶ 90,165 (3d Cir. Mar. 9, 1998), arguing that *Klein* is "remarkably similar" to this case (Pet. 5), and that the Third Circuit adopted a liability standard that differs from both the Second and Ninth Circuit tests. *See* Pet. 12-15. Even if this characterization of the decision were accurate, the fact that *Klein* was vacated wipes out any conflict. A recent Third Circuit order dismissing the *Klein* appeal also ensures that the panel decision will not be reinstated on en banc review. *Klein v. Boyd*, Nos. 97-1143 and 97-1261, Order dated Nov. 12, 1998.

In any case, petitioner's characterization of *Klein* is inaccurate. The liability standard adopted by the panel decision is essentially the same as the Ninth Circuit test, as it would have imposed liability "when the person's participation in the creation of a statement containing a misrepresentation or omission of material fact is sufficiently significant that the statement can properly be attributed to that person as its author or co-author." *Klein*, [Current Transfer Binder] Fed. Sec. L. Rep. (CCH) at 90,325.

Equally important, the factual allegations in *Klein* differ markedly from the allegations here. The lawyer-defendants in *Klein* were the primary authors of the allegedly misleading partnership disclosure packages (*id.* at 90,320). In this case, by contrast, there is no allegation that Ernst & Young contributed at all to drafting the BT press release. Thus, even if *Klein* were valid precedent (which it is not), there is

no reason to believe that petitioner would enjoy any more success under the *Klein* standard than under the Second Circuit test.

V. ALLEGED SECOND CIRCUIT CONFUSION SHOULD NOT PROMPT THIS COURT'S REVIEW

Petitioner argues that the Second Circuit has issued inconsistent decisions on the scope of liability under Section 10(b), "indicating that the time is ripe for this Court to clarify its decision in *Central Bank*." Pet. 8. It is well established, however, that conflicting decisions within a circuit raise a problem to be resolved by that circuit rather than by review in this Court. *See, e.g., Wisniewski v. United States*, 353 U.S. 901, 902 (1957).

Further, as the court below recognized (Pet. 13a-14a), there is no conflict between the decision below or *Shapiro* and the court's prior decision in *SEC v. First Jersey Securities Inc.*, 101 F.3d 1450 (2d Cir. 1996). In *First Jersey Securities*, a fraud action brought by the SEC, the Second Circuit held that where the sole owner, officer, and director of a company – Brennan – directed the employees of his company – First Jersey – to make false and misleading statements to customers as part of an elaborate scheme to defraud, Brennan was primarily liable for the actions of his employees, and responsible also as a "controlling person" under the Securities Exchange Act. 101 F.3d at 1471-1474. *First Jersey Securities* thus stands for the proposition that the owner and chief executive officer of a business cannot escape responsibility for securities frauds committed by his employees when the fraud "could only have occurred at the direction of upper level management," and when the defendant "was engaged in the purposeful planning" of the fraud. 103 F.3d at 1471-1472.

Similarly, petitioner's contention (Pet. 9), that the Second Circuit recently retreated from its "bright line" rule in *SEC v. U.S. Environmental, Inc.*, 155 F.3d 107 (2d Cir. 1998),

reflects a misreading of that case. The court acknowledged that Section 10(b) prohibits market manipulation *(id.* at 108), and that a defendant who effects "the very buy and sell orders that manipulated [the company's] stock upward" is primarily liable for the violation. 155 F.3d at 112. As the court observed, "if the trader who executes manipulative buy and sell orders is not a primary violator, it is difficult to imagine who would remain liable after *Central Bank.*" *Id.*

Finally, we disagree that the time is ripe for this Court to clarify the scope of liability in the wake of *Central Bank.* Only three federal circuits have addressed the issue, which is in a state of flux and would undoubtedly benefit from further consideration by the lower courts.

CONCLUSION

The petition for a writ of certiorari should be denied.

Respectfully submitted.

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